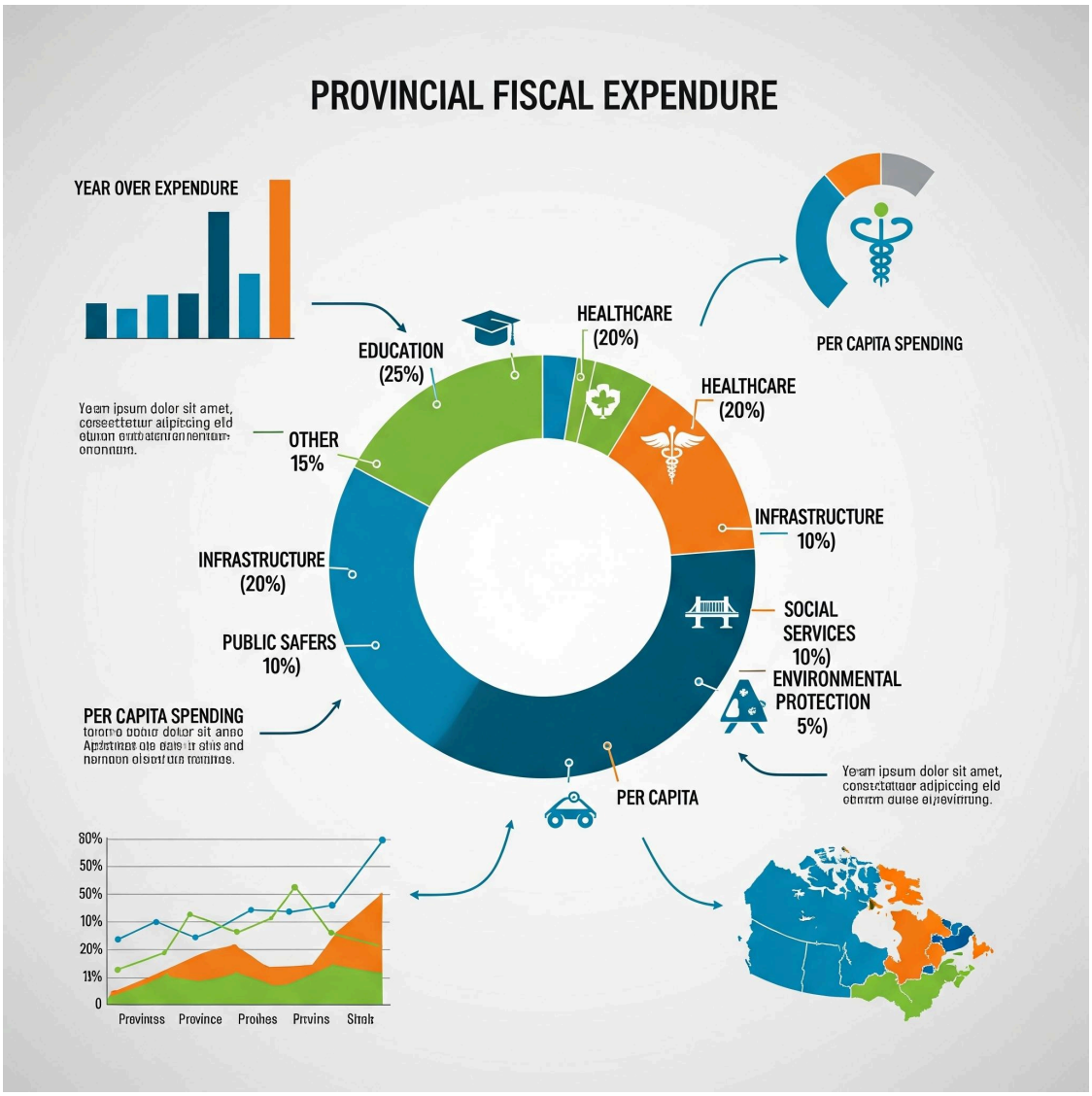
An Analysis of Fiscal Transparency and Top Utilization of Tax Money in British Columbia

A data analysis project of provincial revenue composition, expenditure priorities, and per-capita fiscal trends for the past decade 2016-2025.



Technical Report (MADS-092025-CSC 501)

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1.0 Abstract

This report provides a comprehensive, data-driven analysis of the utilization of public funds by the Government of British Columbia (BC) through a ten year trend, from 2016-2025. Leveraging actual expenditure and revenue data extracted from official British Columbia Government financial summaries available in Open data websites. The analysis focuses on identifying fiscal transparency by quantifying how province revenue is collected, spending allocated and how key spending metrics of various sectors have evolved over time. We particularly focus on taxpayer's money being utilized in an efficient way and the overview of return on investment.

The findings confirm that British Columbia's fiscal structure is consistently weighted toward Health (~42% of total expenses in 2025) of total expenses and Education (~22% of total expenses in 2025), which together account for over 64% of all annual spending. While overall revenue grew substantially from $46 Billion to $84 Billion in a decade, an 76.5% increase, the total expenditure grew even faster from $44 Billion to $91 Billion, an 106% increase.

A key finding is the widening fiscal pressure reflected in per-capita spending trends: total government spending per person increased from $26 per day in 2016 to $44 per day in 2025, a growth rate that significantly outpaced the increase in per-capita taxation. Furthermore, the analysis reveals that a comparatively narrow base of ~76% of the total adult population generates the majority of tax revenue ~60% of the province revenue, placing significant reliance on this segment of population to fund rapidly escalating public expenses. The long-term trajectory indicates that while service priorities remain stable, the accelerating pace of expenditure growth poses a considerable challenge to British Columbia's long-term fiscal sustainability. As a result the latest 2025 first quarter financial reports indicate a deficit of ~$9 Billion, suggesting that near-future policy adjustments may be required to address rising per-capita costs and slow the growth of expenditure to maintain long-term sustainability.

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3.0 Introduction

British Columbia's provincial government manages a complex annual budget that directs Billions of Dollars toward core public services essential to the province's quality of life and economic competitiveness. Annually, the province collects revenue primarily through taxation, federal transfers, fees, natural resources, and Crown corporation earnings. However, understanding precisely how this public money is allocated across government ministries, particularly Health, Education, and Social Services and the resulting fiscal trajectory remains a challenge for many residents.

This project addresses this challenge directly by conducting a robust, longitudinal analysis of the utilization of British Columbia's tax revenue using actual financial figures spanning ten fiscal years, from 2016 to 2025. All data was directly extracted, aggregated, cleaned, and analyzed using Microsoft Excel from official government financial reports and Statistics Canada data. This report is fundamentally grounded in the principle of fiscal transparency. It summarizes key quantitative insights regarding revenue composition, expenditure priorities, population-adjusted spending, sector funding sources, and long-term growth patterns in British Columbia's public spending.

The subsequent sections detail the analytical framework, present the findings, and conclude with a discussion of the long-term fiscal implications for British Columbia given the current trends.

4.0 Objective and Theme

The central theme of this project is fiscal transparency. Our overarching goal is to provide a clear, data-driven explanation of how the Government of British Columbia allocates its revenue, predominantly derived from taxation, and how major spending categories have evolved over time in response to demographic changes and public demand.

4.1 Primary Objectives

- **Identify Sectoral Priorities:** Quantify which sectors receive the largest share of provincial expenses, specifically Health, Education, and Social Services.
- **Analyze Fiscal Balance:** Compare the longitudinal trends of total revenue growth against total expenditure growth over the decade.

- **Normalize Financial Metrics:** Calculate per-capita taxation and government spending (per year and per day) to adjust for population growth and provide a normalized measure of service cost.
- **Determine Funding Structure:** Analyze the proportion of funding for key sectors derived from provincial versus non-provincial sources (for example, Federal transfers, user fees).
- **Visualize Long-Term Trends:** Employ quantitative analysis to track the evolution and growth rate of major expenditure categories, providing a clear visual narrative using Excel visualizations.

5.0 Data Sources and Methodology

5.1 Data Sources

The integrity of this analysis relies exclusively on high-fidelity data extracted from official governmental and statistical publications.

- **Financial Data:** Actual Revenue and Expense values (in $Millions or $000s) for fiscal years 2015-2016 through 2024-2025 were compiled from:
    - British Columbia Government Annual Reports and Public Accounts.
    - Ministry financial statements (for example, Ministry of Health, Ministry of Education, etc.).
    - British Columbia Budget documents, specifically for 2025 projections.
- **Demographic Data:** Population figures, including total population and taxpayer-related demographics, were sourced from Statistics Canada – Population Estimates and British Columbia Government Demographic Ratios.

5.2 Methodology Summary

All data cleaning, aggregation, calculation, and visualization were performed using Microsoft Excel. The methodology involved the following key steps:

- **Data Extraction and Alignment:** Raw financial and population data were extracted and aligned by fiscal year.

- **Composition Analysis:** The average percentage share of each Revenue and Expense category was calculated across the full period (2016-2025) to identify long-term structural priorities.
- **Per-Capita Normalization:** Key financial metrics were adjusted for population growth to measure the normalized cost of governance and service delivery.

  Taxation/Capita/Year = Taxation Revenue (M/000s)/Population (M/000s)

  Taxation/Capita/Day = [Taxation/Capita/Year]/365

- **Growth Trend Analysis:** Absolute dollar and percentage growth figures were calculated for major ministries by comparing the first and last years of the dataset (2016-2025).
- **Funding Source Decomposition:** Sectoral funding tables were created to determine the percentage share of funding provided by the provincial government versus non-provincial sources.
- **Data Clean-up:** Data clean-up involves converting the amount into same and consistent measure, in terms of $Billions/ $Millions/ $000s.

6.0 Revenue Analysis (fiscal year 2015–2016 to 2024–2025)

British Columbia's total revenue demonstrated a strong upward trend over the ten-year analysis period, growing from $47,606 Million in 2016 to a significant increase to $84,046 Million in 2025. This represents an absolute increase of ~76.5%.

6.1 Revenue Composition

The composition of British Columbia's revenue sources is highly concentrated, with Taxation (~60%) serving as the foundational pillar of the province's financial revenue.

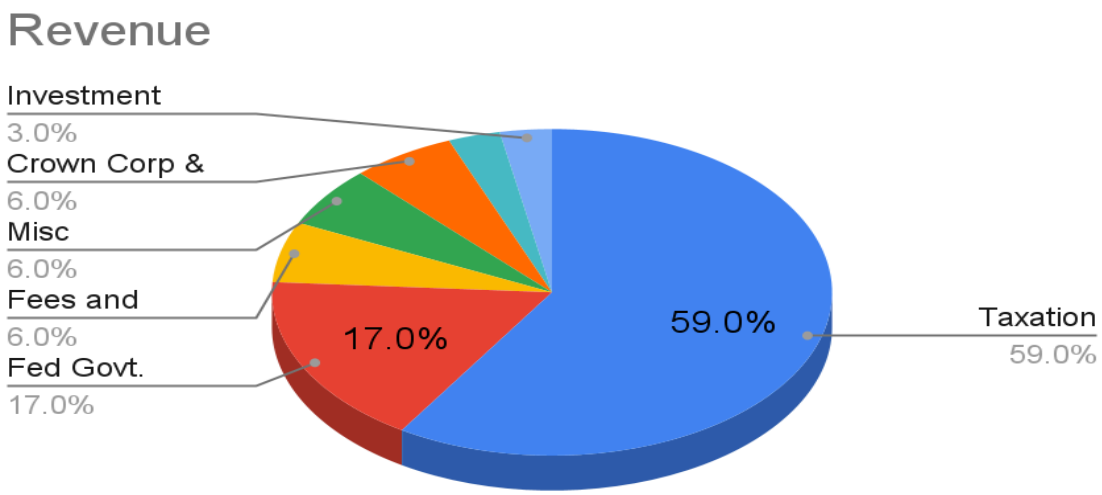
Revenue Source (Actuals in Millions)	Approximate Share (2024–2025)
Taxation	59 %
Federal Government Contribution	17 %
Fees and Licenses	6 %
Miscellaneous	6 %
Crown Corporation and Agencies	6 %
Natural Resources	3 %
Investment Income	3 %

Revenue Source (Actuals in Millions)	Approximate Share (2024–2025)
Total	100 %

Key Observation: Taxation revenue (59 %) and Federal Government Contributions (17 %) combined account for over three-quarters of all funding, underscoring the reliance on these twin pillars for British Columbia's fiscal stability. Other sources contribute relatively minor shares (~3% - 6%).

6.2 Revenue Trends Over Time

The table below details the revenue generated by source over the eleven fiscal years (values in Millions).



Year	Taxation	Federal Govt., Contribution	Fees and Licenses	Miscellaneous	Crown Corp & Agencies	Natural Resources	Investment Income	Total
2015-2016	24,326	7,647	5,836	3,298	2,702	2,571	1,226	47,606
2016-2017	27,093	8,167	6,213	3,508	2,525	2,711	1,242	51,459
2017-2018	28,321	9,055	6,249	3,543	1,056	2,695	1,101	52,020
2018-2019	32,714	9,052	5,593	3,413	2,005	3,108	1,243	57,128
2019-2020	33,266	9,535	5,572	3,838	2,918	2,268	1,263	58,660
2020-2021	34,166	12,894	4,329	3,136	3,964	2,403	1,264	62,156
2021-2022	40,717	11,980	4,584	3,910	5,424	4,471	1,306	72,392
2022-2023	49,025	12,526	4,928	4,445	3,098	6,198	1,316	81,536

Year	Taxation	Federal Govt., Contribution	Fees and Licenses	Miscellaneous	Crown Corp & Agencies	Natural Resources	Investment Income	Total
2023-2024	46,296	13,734	5,267	4,988	4,477	3,143	1,718	79,623
2024-2025	49,446	14,307	5,468	5,460	4,790	2,416	2,159	84,046

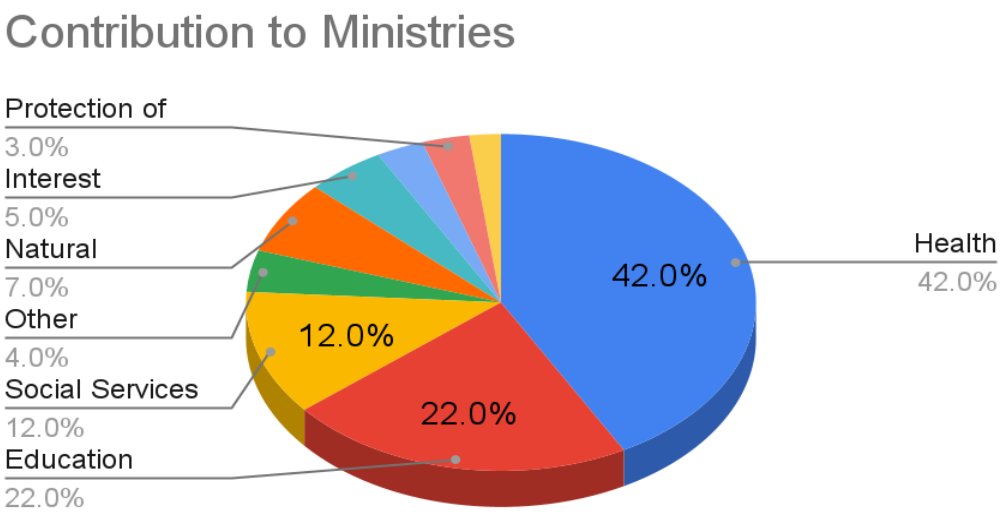
Key Observations: Taxation Revenue shows consistent growth, peaking in 2022-2023 ($49,025 Million). Federal Government Contribution saw a significant spike in 2020-2021 ($12,894 Million), primarily due to pandemic-related transfers.

7.0 Expenditure Analysis (2016–2025)

British Columbia's total spending grew from $46,876 Million (2015-2016) to a significant $91,393 Million (2024-2025). The total expenditure grew by ~95% over the period, which exceeded the corresponding revenue growth by a substantial margin.

7.1 Expenditure Composition and Priorities

British Columbia's spending priorities are consistently focused on human services, with Health, Education and Social Services dominating the budget to ~76%.



Expense Category (Actuals in Millions)	Approximate Share (2024–2025)
Health	42 %
Education	22 %

Expense Category (Actuals in Millions)	Approximate Share (2024–2025)
Social Services	12 %
Natural Resources and Economic Development	7 %
Interest Payments	5 %
Other	4 %
Transportation	3 %
Protection of Persons and Property	3 %
General Government	2 %
Total	100 %

7.2 Ministry-Level Expenditure Growth

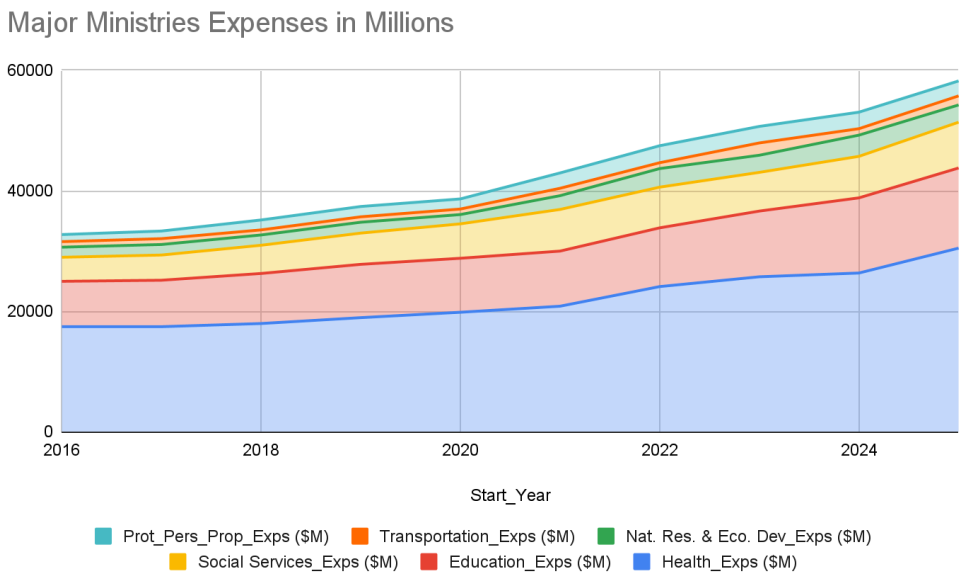
The table below provides the absolute spending (in Millions) by major ministry function for all years, demonstrating the massive growth in core service delivery costs.

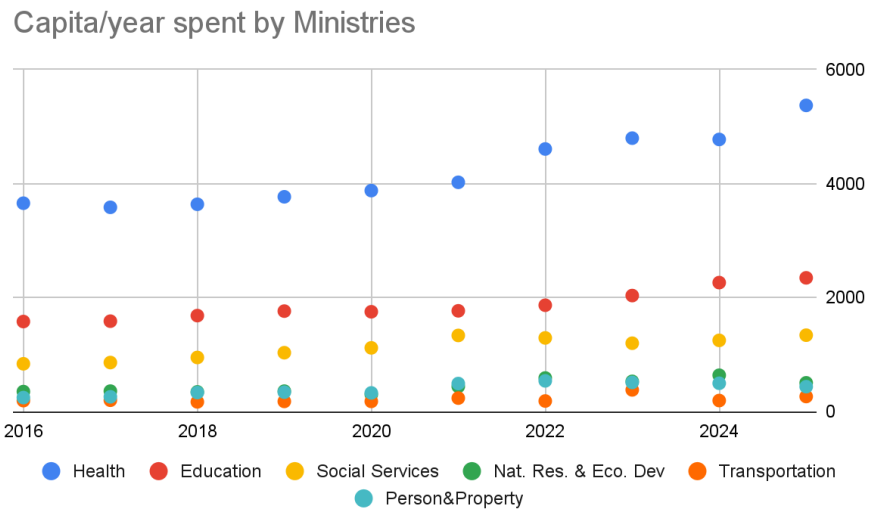
Year	Health	Education	Social Services	Natural Resources & Economic Development	Transportation	Protection of Persons and Property	Total Expenses ($M)
2015-2016	19,203	12,212	4,106	2,562	1,670	1,572	46,876
2016-2017	19,689	12,468	4,243	2,504	1,784	1,655	48,722
2017-2018	20,927	13,091	4,737	3,387	1,931	1,930	51,719
2018-2019	22,151	14,085	5,343	3,825	2,021	2,004	55,593
2019-2020	23,449	14,734	5,887	3,778	2,126	2,126	58,981
2020-2021	25,605	14,943	7,789	4,191	3,360	2,258	67,624
2021-2022	27,584	15,795	7,268	5,213	4,453	2,937	71,086
2022-2023	30,322	16,993	9,652	6,284	3,320	3,483	80,834
2023-2024	34,863	18,479	9,284	6,704	2,379	3,101	84,658
2024-2025	38,182	19,609	10,922	6,165	2,933	3,183	91,393

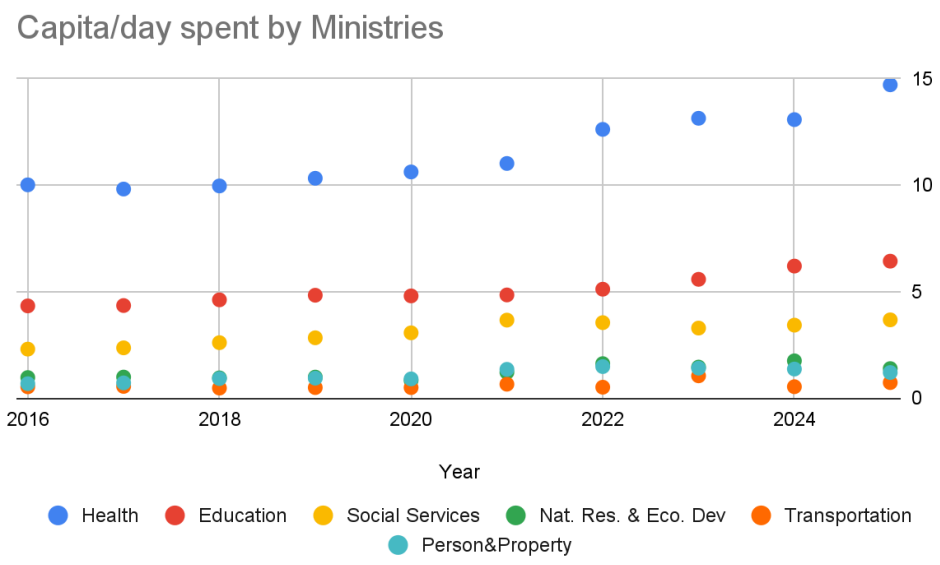
Growth Metrics (2015-2016 vs. 2024-2025)

Sector	2015-2016 Expenses (Millions)	2024-2025 Expenses (Millions)	% Change
Health	19,203	38,182	+98.8 %
Education	12,212	19,609	+60.6 %
Social Services	4,106	10,922	+166 %
Protection of Persons and Property	1,572	3,183	+102.5 %

The graph below shows the growth over a decade using the core financial data from the table above and the per capita expenditures by ministries.







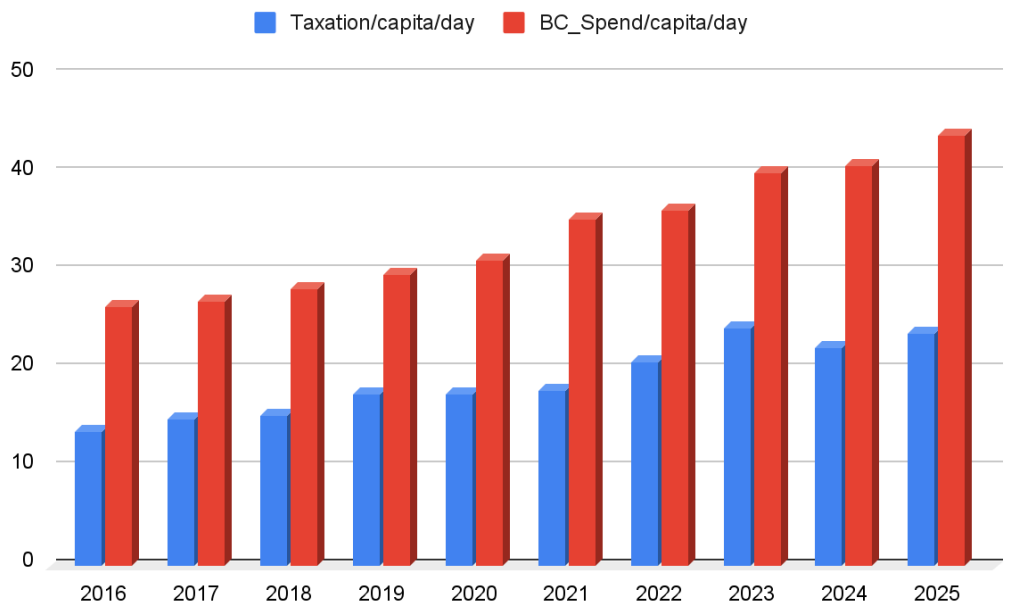
8.0 Per-Capita Fiscal Analysis

To gauge the true cost of government services and the burden on the taxpayer, financial figures must be normalized by the population. The British Columbia population grew from 4.77 Million in 2016 to 5.70 Million in 2025.

8.1 Taxation and Spending Per Person

This table shows the normalized daily tax revenue collected per person versus the daily amount the government spends per person.

Year	Population (Millions)	Taxation Per Capita Per Day	BC Spending Per Capita Per Day
2016	4.9	$14	$26
2017	4.9	$15	$27
2018	5.0	$15	$28
2019	5.1	$18	$30
2020	5.2	$18	$31
2021	5.2	$18	$35
2022	5.4	$21	$36
2023	5.5	$24	$40
2024	5.7	$22	$41
2025	5.7	$24	$44



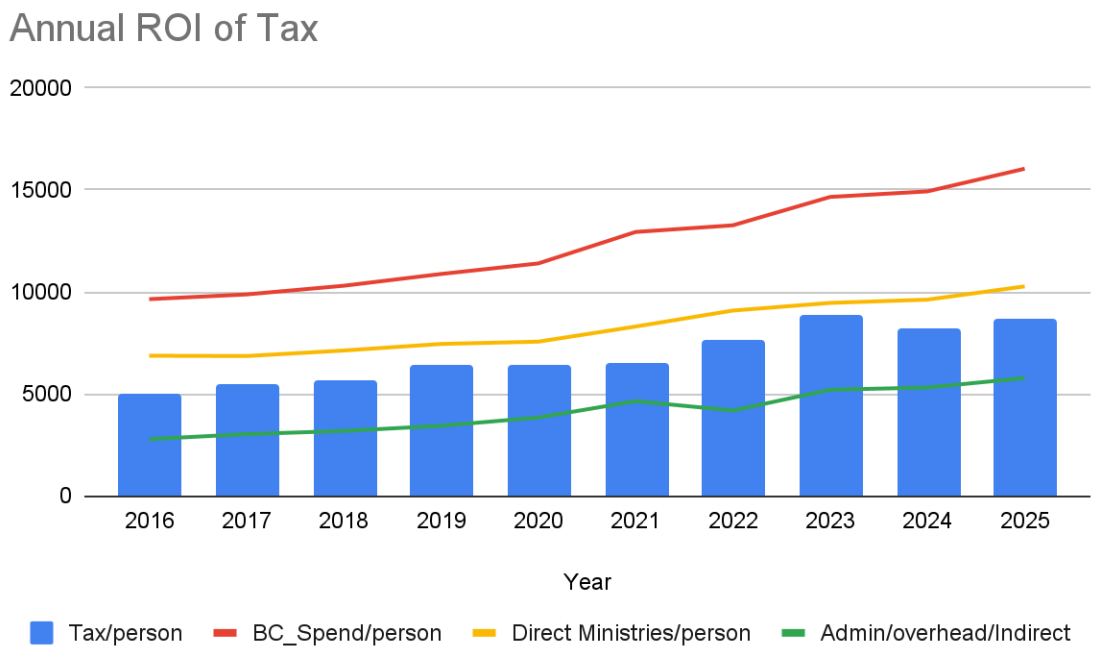
Key Observation: The daily gap between spending and taxation per person has widened significantly. In 2016, the government collected ~$14 per person in taxation, however it spent ~$26 per person per day. However, by 2025, the government is spending almost twice the taxation per capita. This expanding shortfall confirms a structural fiscal reliance on federal transfers, other non-tax revenue sources, or incurring debt and deficit to fund the current level of service.

8.2 Administration and Overhead Costs

Administration and overhead (including Interest, General Government, and other expenses) represent costs not directly attributable to core service ministries.

Year	Tax Per Person Per Year	British Columbia Spending Per Person Per Year	Direct Ministries Per Person Per Year	Administration/Overhead/ Indirect Per Person Per Year
2016	5,004	9,643	6,866	2,776
2017	5,491	9,874	6,852	3,023
2018	5,641	10,301	7,123	3,177
2019	6,401	10,877	7,445	3,432
2020	6,427	11,395	7,558	3,837
2021	6,537	12,938	8,299	4,639

Year	Tax Per Person Per Year	British Columbia Spending Per Person Per Year	Direct Ministries Per Person Per Year	Administration/Overhead/ Indirect Per Person Per Year
2022	7,598	13,265	9,084	4,182
2023	8,889	14,656	9,458	5,198
2024	8,163	14,928	9,619	5,309
2025	8,678	16,041	10,269	5,772



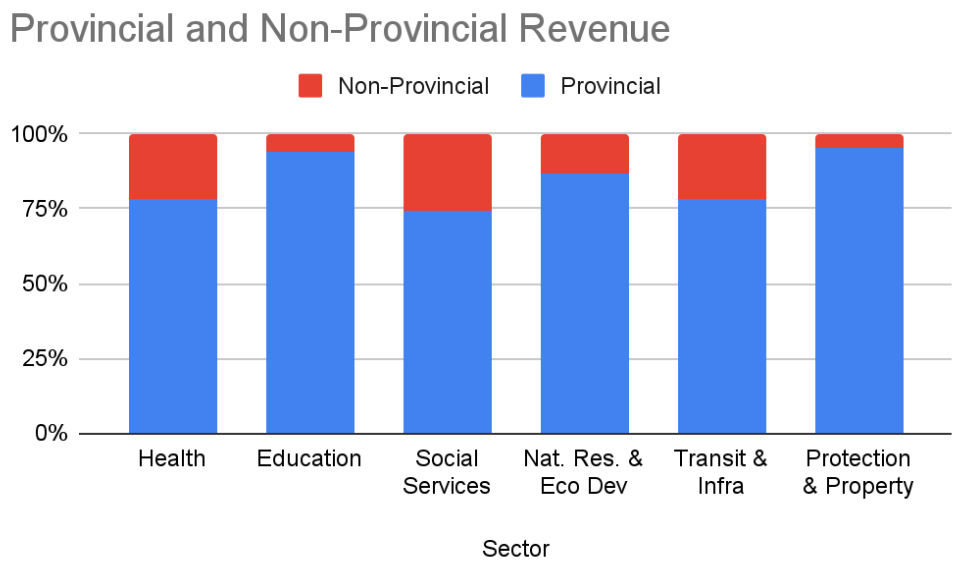
Key Observation: Administrative and overhead costs per person have more than doubled from $2,776 in 2016 to $5,772 in 2025 annually. This rapid growth suggests increasing costs in debt servicing (Interest) and general governmental expenditures (General Government and Other ministries), placing additional strain on the budget before funds reach front-line services.

9.0 Sector Funding Composition

Not all funds spent by British Columbia ministries are derived from provincial taxation. This analysis decomposes the funding sources for major sectors to determine the reliance on external revenue streams.

9.1 Provincial versus Non-Provincial Shares (2025)

The table below breaks down the estimated funding sources for major sectors in the 2025 fiscal year.



Sector	Primary Ministry	Provincial Share	Non-Provincial Share
Protection and Property	Public Safety and Solicitor General	95 %	5 %
Education	Education and Child Care	94 %	6 %
Natural Resources and Economic Development	Forests, Water, Land, etc.	87 %	13 %
Health	Ministry of Health	78 %	22 %
Transit and Infrastructure (Transportation)	Transportation and Infrastructure	78 %	22 %
Social Services	Social Development and Poverty Reduction	74 %	26 %

Key Observation: Education and Protection of Persons and Property are highly dependent on provincial funding (over 90%). Conversely, Social Services and Health rely on significant non-provincial funding (26% and 22% respectively), which is primarily driven by Federal transfers, co-payment and fees and licenses, underscoring the crucial role of inter-governmental funding in sustaining service levels in these key areas.

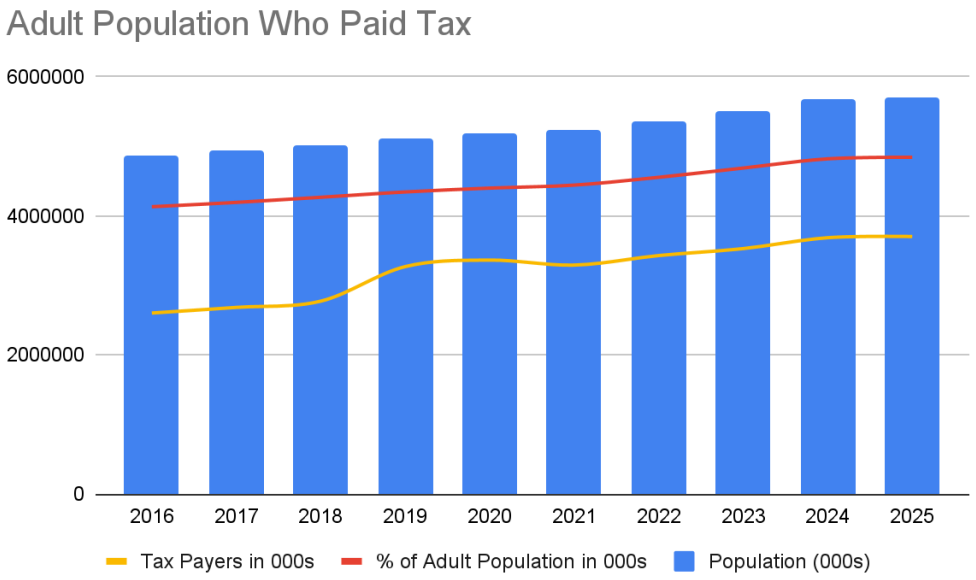
10.0 Taxpayer Base and Demographic Context

While the total population defines the need for services, the number of active taxpayers defines the revenue base.

10.1 Taxpayer Concentration

Analysis of the demographic data highlights a significant concentration of the tax burden on a portion of the population (not the entire adult population).

Year	Population (Thousands)	Population in Millions	Adult Population (Millions)	Tax Payers in Millions	Taxpayers as % of Total Population
2016	4,861,269	4.9	4.132	2.603	53.5 %
2017	4,934,202	4.9	4.194	2.684	54.4 %
2018	5,020,979	5.0	4.268	2.774	55.2 %
2019	5,111,022	5.1	4.344	3.271	64.0 %
2020	5,176,101	5.2	4.400	3.364	64.9 %
2021	5,226,665	5.2	4.443	3.293	63.0 %
2022	5,358,845	5.4	4.555	3.430	64.0 %
2023	5,515,296	5.5	4.688	3.530	64.0 %
2024	5,671,114	5.7	4.820	3.686	64.9 %
2025	5,697,536	5.7	4.843	3.703	64.9 %



Key Observation: The chart illustrates a consistent upward trend in the total population from 2016 to 2025, reaching nearly 6 million. While the tax-paying base generally grows, it shows a notable stagnation between 2020 and 2021, likely reflecting pandemic-related economic impacts, before recovering sharply. Throughout the period, a significant gap persists, with tax payers consistently comprising roughly 50% to 60% of the total population. Additionally, the red line suggests a steady increase in the adult population. However, the tax paying adult population are the ones contributing to ~60% of provincial revenue.

11.0 Summary of Key Insights and Discussion

The ten-year financial data set reveals clear, persistent trends in British Columbia's fiscal management and confirms the increasing long-term fiscal pressure on the budget.

11.1 Fiscal Dominance and Priorities

- Health (42 %) and Education (22 %) are the core priorities, consistently consuming approximately two-thirds of the entire provincial budget.
- Social Services experienced the highest percentage growth among major ministries, increasing by 166% from 2015-2016 to 2024-2025, reflecting accelerating costs associated with welfare, disability, and housing programs.

- Health spending also surged by 98.8 %, driven by population growth, an aging demographic, pandemic care and rising healthcare costs.

11.2 The Widening Fiscal Gap

- Total Expenditures (up 106%) are growing significantly faster than total Revenue (up 82%).
- The most critical metric is the per-capita trend: the government's daily spending per person has grown from $26 to $44 (a $18 increase), while daily taxation per person has only grown from $14 to $24 (a $10 increase). This widening $8 daily deficit per person (from $12 to $20) confirms a structural fiscal reliance on external and non-tax sources or debt to fund the current level of service and increasing deficit.

11.3 Overhead Cost Inflation

- Administrative and overhead costs per person (which include Interest and General Government expenses) have increased substantially, from $2,776 per person in 2016 to $5,772 per person in 2025 annually. This growing non-service expenditure is one of the key drivers of overall cost inflation.

11.4 Funding Structure Reliance

- Core services like Health and Social Services rely on significant non-provincial funding (22 % and 26 % respectively), demonstrating the crucial role of Federal transfers in sustaining the current level of public welfare.

12.0 Conclusion and Future Outlook

This project provides a transparent and quantifiable view of tax utilization in British Columbia using only official government open financial data available publicly and Excel-based analysis. By examining revenue composition, expenditure priorities, per-capita trends, funding structures, and growth over time, we can say that British Columbia’s fiscal structure is heavily weighted toward health, education, and social welfare.

A key factor is that British Columbia is experiencing accelerating long-term fiscal pressure. Spending has consistently increased faster than revenue, leading to an expanding per-capita fiscal gap. This trend, coupled with the heavy tax burden

concentrated on approximately 65 % of the total population, suggests that the province may face significant budgetary challenges. Maintaining the current pace of service growth without corresponding major tax base expansion or sustained high non-tax revenue has resulted in a huge deficit (as of latest financial report 2025) and suggests taxation policy changes in the near future may be required.

Overall, this project highlights the importance of accessible public data and the role of visualization tools in promoting financial transparency and informed decision-making regarding the sustainability of the province's core public services.

The ministry level financial summary did not have transparency on non-province income source, which may be a concern with respect to 'fiscal transparency'. It is essential for the BC government to have a clear check on spending and make necessary policy changes to ensure the gap, debt and deficits are handled in a timely and efficient manner.

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- British Columbia Public Accounts – Revenue and Expense Summaries (Various Years).
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- Statistics Canada – Population Data (Various Years).
- Business Council of British Columbia's economic insights 2022. https://www.bcbc.com/insight/where-does-taxpayers-money-go-its-hard-to-say-canada-and-b-c-governments-receive-failing-grades-on-fiscal-transparency.

- Ministries under consideration:

Expense Category	BC Ministries (2024/25)

Health	- Ministry of Health — clearly the main health ministry. - Also: Ministry of Social Development & Poverty Reduction and Ministry of Children & Family Development make some health-related payments on behalf of clients; these are reported in the Health function in the fiscal update. (Province of British Columbia)
Education	- Ministry of Education and Child Care — for K–12. - Ministry of Post-Secondary Education & Future Skills — for colleges and universities. - Also, some “training costs” paid by Social Development (on behalf of its clients) are reported under Education in the fiscal update. (Province of British Columbia)
Social Services	- Ministry of Social Development and Poverty Reduction — core social assistance / supports. - Ministry of Children and Family Development — for child protection, family services.
Other	- Ministry of Tourism, Arts, Culture & Sport - Ministry of Indigenous Relations & Reconciliation - Ministry of Municipal Affairs / Housing (if considered under “other” non-service, non-resource) - Ministry of Citizens’ Services (public service infrastructure, IT)
Natural Resources & Economic Development	- Ministry of Jobs, Economic Development & Innovation - Ministry of Forests - Ministry of Energy, Mines & Low Carbon Innovation (or “Energy & Climate Solutions”) - Ministry of Environment & Parks - Ministry of Water, Land & Resource Stewardship
Interest	- There is debt-servicing (“interest”) cost reported as a separate function in the fiscal update. (Province of British Columbia) - These costs are under the umbrella of General Government / Finance from the ministry perspective.
Transportation	- Ministry of Transportation and Infrastructure — for highways, transit, bridges. - Ministry of Infrastructure — capital projects including roads, transit facilities. - Note: Budget 2025 capital plan commits a lot to transportation infrastructure. (BC Budget 2025)
Protection of Persons & Property	- Ministry of Public Safety & Solicitor General — policing, corrections, victim services. - Ministry of Emergency Management & Climate Readiness — emergency services, disaster response. - Ministry of Attorney General (justice functions) could also be considered here.
General Government	- Ministry of Finance — budgeting, debt, general fiscal management. - Office of the Premier — central government leadership. - Ministry of Citizens’ Services — public service back-office functions (IT, admin).